MICROECONOMICS

MICRO-16

Time: 5 minutes

Outcome: Determine Domestic Production, Consumption & Trade Quantities.

Difficulty: Intermediate

Domestic Production, Consumption & Trade Quantities

THE CORE IDEA

At a world price, domestic consumption is read from demand and domestic production is read from supply. When domestic consumption exceeds domestic production, imports fill the difference; when production exceeds consumption, the excess is exported. The comparison must be made at the world price because that price guides both domestic buyers and sellers under free trade.

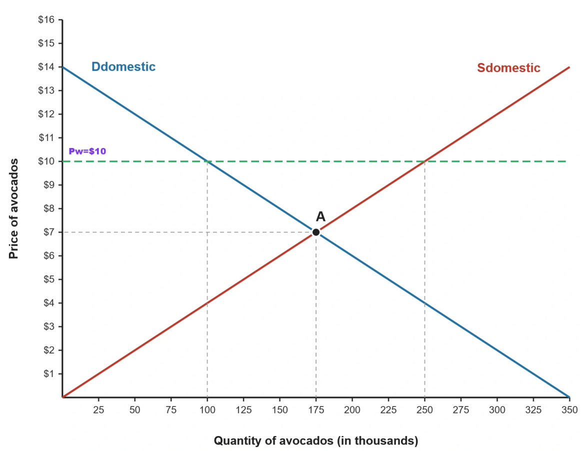
HOW TO RECOGNIZE IT

- Compare the world price with the domestic no-trade equilibrium price.
- At the world price, read domestic consumption from demand and domestic production from supply.
- When consumption exceeds production, imports equal domestic consumption minus domestic production.
- When production exceeds consumption, exports equal domestic production minus domestic consumption.

WATCH OUT

A common mistake is to omit one or more welfare components. Revenue is tariff×imports; each side distortion is a triangle. Total DWL is $144.

WORKED EXAMPLE: CALCULATING IMPORTS



Without trade, domestic supply and demand intersect at $7 and 175 thousand avocados. At the $10 world price, domestic consumers buy 100 thousand while domestic producers supply 250 thousand. The country exports the difference: 250 - 100 = 150 thousand avocados.

CHECK YOURSELF

Using the avocado export-market graph, what are domestic production, domestic consumption, and exports at Pw=$10?

READY? Return to the game and master this concept.